



My Business Pays My Mortgage **Is That a Problem?**

The Real Cost of Putting Your House on the Company Balance Sheet

A field guide for owners who moved personal property onto the books

A NOTE BEFORE WE START

This presentation is provided for general educational purposes only and does not constitute tax, legal, or accounting advice for any specific individual or entity. The treatment of personal property transferred to a business, mortgage assumptions, and distributions depends heavily on the facts and circumstances of each situation — what applies to one business may not apply to another.

Nothing in this deck should be relied upon in place of consultation with a qualified CPA, tax advisor, or attorney regarding your specific situation. Nácar & Ledger is glad to discuss how these issues may apply to your business directly.

WHY THIS LIST EXISTS

Putting your house on the business books feels like a formality — it's your business, it's your house.
It stops feeling like a formality the day a lender calls the loan due, or an examiner asks who actually owns what.

No real transaction recorded

The IRS treats an asset added with no offsetting entry as if nothing legitimate happened at all — the paper trail simply doesn't exist.

Mortgage acceleration risk

Most residential mortgages have a due-on-sale clause — transferring the property without lender consent can make the entire balance due immediately.

Liability shield reversed

An entity formed to protect personal assets now exposes that same asset directly to business creditors — the opposite of what it was built to do.



No Capital Contribution Recorded

THE MISTAKE

The property shows up as a business asset, but nothing on the other side of the entry — no equity contribution, no loan, no consideration of any kind.

WHY IT HAPPENS

It's the owner's house and the owner's business, so the transfer feels like moving money between two pockets of the same coat.

WHAT IT COSTS YOU

Without an offsetting entry, there's no legitimate basis for the asset at all — everything built on top of it, including depreciation, stands on nothing.



Ignoring the Due-on-Sale Clause

THE MISTAKE

The mortgage moves onto the business books along with the property, with no call to the lender and no consent obtained.

WHY IT HAPPENS

The loan and the house feel like a package deal — nobody thinks to check whether the lender has a say in it.

WHAT IT COSTS YOU

Most residential mortgages can be called due in full the moment title changes without consent — a technicality that only matters until the lender notices.



Treating Mortgage Payments as a Business Expense

THE MISTAKE

Monthly mortgage payments get booked as rent, occupancy cost, or a straightforward business expense.

WHY IT HAPPENS

The payment comes out of the business account, so it gets categorized like any other outgoing bill.

WHAT IT COSTS YOU

A personal mortgage paid by the business is a distribution or compensation, not a deduction — booking it as an expense overstates costs and understates what the owner actually took out.



No Basis or Depreciation Tracking

THE MISTAKE

The business starts depreciating the property as a fixed asset, using whatever number was on hand at the time.

WHY IT HAPPENS

Depreciation feels like a standard step for any asset on the books, regardless of how it got there.

WHAT IT COSTS YOU

Depreciation claimed against basis that was never properly established gets unwound — with interest — the moment anyone looks closely enough to ask where the number came from.



Inverting the Liability Shield

THE MISTAKE

The very asset the entity was formed to protect is now sitting inside the entity, exposed to its liabilities instead of shielded from them.

WHY IT HAPPENS

Nobody connects “put it on the books for tax purposes” with “now a business creditor can reach it.”

WHAT IT COSTS YOU

A lawsuit, a bad debt, or a business bankruptcy now reaches an asset that was supposed to be untouchable — the protection was paid for and then undone.



No Fair Market Value Documentation

THE MISTAKE

The property is added to the books at a round number, an old purchase price, or whatever felt reasonable — no appraisal, no formal valuation.

WHY IT HAPPENS

Getting a real valuation feels like an unnecessary step for a transfer that already feels informal.

WHAT IT COSTS YOU

Every later event — a sale, a refinance, an estate settlement, an audit — needs a number nobody can actually defend.

How This Actually Catches Up With You

An undocumented property transfer resolves itself one of two ways — and one is a lot more expensive than the other.

PATH A

You Unwind It Yourself

The contribution or distribution gets recorded properly, basis gets corrected, and the mortgage question gets addressed with the lender directly.

The fix happens quietly, on your own timeline, before anyone else is asking questions.

PATH B

Someone Else Catches It First

A lender discovers the transfer during a refinance or review and calls the loan due, or an examiner questions depreciation with no basis behind it.

Now it's a demand for immediate payoff, or reclassified income with penalties and interest — on someone else's timeline, not yours.

The Fix Is Almost Always the Same

1

Record a real transaction

A capital contribution or a documented loan — never a silent transfer.

2

Check the mortgage terms

Confirm due-on-sale implications with the lender before anything moves.

3

Get a real valuation

An appraisal or documented basis at the time of transfer, not a guess.

4

Book payments correctly

Distributions or compensation, not a business expense.

5

Track basis and depreciation

Once the contribution is properly recorded, from that point forward.

6

Question if it belongs there

Sometimes the right fix is taking the asset back out, not documenting it better.



Untangle It Before Someone Else Does

A properly documented transfer — or no transfer at all — protects both the asset and the entity it was supposed to protect in the first place.

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